

Board of India (Sebi) formalised guidelines for issuing and listing green debt securities for the first time.

As of March, 22 Indian companies had collectively raised ₹6,953 crore through 31 onshore green bond issuances. A major milestone came in 2023 when the central government entered the fray with its first sovereign green bonds, raising ₹16,000 crore.

With green bonds gaining popularity, several projects have been funded through this route. In December 2024, DME Development Ltd (DMEDL), a subsidiary of the National Highways Authority of India (NHAI), raised ₹775 crore through green bonds for the roads and highways sector. Similarly, in January 2024, REC Limited, a Maharatna government-owned company under the Ministry of Power, raised JPY 61.1 billion by issuing its first-ever green bonds in Japanese Yen.

While the number of issuances of these bonds and the projects fi-

nanced indicate a promising future, the investor experience has a different story to tell.

PERFORMANCE AS AN INVESTMENT OPTION

Green bonds in India are primarily targeted at institutional investors. The minimum ticket size is usually around ₹10 lakh, making direct access difficult for most retail investors. Liquidity is another concern. Most investors choose to hold them until maturity. Since they do not trade as frequently, there aren't enough of these bonds in circulation.

"The secondary market for green bonds is underdeveloped, making it difficult to exit before maturity," notes Nikhil Aggarwal, Founder and Group CEO of Grip Invest.

Then there are concerns regarding returns. Contrary to expectations, green bonds do not offer significantly higher yields than their conventional counterparts. In India, the average yield stands at around 6.2%, although

one-year returns in certain periods have reached as high as 10.1%. The so-called greenium—or green premium—is still weak in India. Currently, the yield of a 10-year government bond is at 6.3%.

While green bonds are intended to help governments raise capital for clean energy and infrastructure because of the low borrowing costs associated with such instruments, India's issuances have struggled to attract a meaningful greenium. As a result, planned funding for key initiatives, including grid-scale solar projects, has been reduced.

"Although the headline yields may not be significantly higher than conventional bonds," Aggarwal explains, "green bonds benefit from strong credit profiles and policy support, which can enhance risk-adjusted returns."

Despite lower yields, a key driver of interest in green bonds is the global push for ESG-aligned investing. But that has given rise to other concerns associated with it.

GREENWASHING

Investors today are not only looking at financial returns but also at the impact their money creates, and with that comes the risk of greenwashing. Bonds are labelled "green" without truly contributing to environmental goals. For instance, in the early days of China's green bond market, some bonds funded 'clean coal' projects, which experts found would not qualify as green, highlighting inconsistencies.

"To address greenwashing risks, whereby the use of proceeds raised through green bonds are misallocated to environmentally unsustainable activities, the International Capital Market Association (ICMA) has published Green Bond Principles (GBP) that provide a standardised approach for issuance of green bonds with clear guidelines for transparency, disclosure,



"The Capital Market Association has published Green Bond Principles that provide a standardised approach for issuance of green bonds with clear guidelines for transparency"

NIIRANJANA BANODKAR
GROUP CFO, YES BANK



"Although headline yields may not be much higher than conventional bonds, green bonds benefit from strong credit profiles and policy support, which can enhance risk-adjusted returns"

NIKHIL AGGARWAL
FOUNDER & GROUP CEO,
GRIP INVEST